

Finance Lease

Finance lease is a lease agreement whereby the lessor transfers significantly all the risks and rewards associated to the leased asset to the lessee. The lessee becomes significantly responsible for the servicing and maintenance of the leased assets.

In Finance lease, the lessor will not show the asset in its SOFP despite the fact that the asset is owned by the lessor. However, ~~the~~ IFRS 16 requires that finance lease should be recognised as non-current asset in the book of the lessee.

Accounting treatment of Finance lease in the book of the lessor

IFRS 16, requires that the lessor should derecognise assets leased out ~~under~~ finance lease (including hire purchase) from the book. Then recognise the amount due as lease receivable in the book. The lease receivable would be split into ~~two~~ current asset and non-current asset.

In the SOPL, the lessor should ~~lease~~ recognise lease interest income as part of its investment income.

Illustration → Operating lease

On 1 January 2023 Vintim Plc leased property to Duda Ltd. The lease was for 6 years and the remaining useful life of the property was 20 years. The lease contract requires Duda Ltd to make an initial payment of \$4,500,000 to be followed by 6 equal annual payments of \$700,000 payable on 31 December in arrears. Vintim Plc is responsible for maintenance and insurance of the property. The carrying amount of the property as at 1 January 2023 was \$30,000,000.

Required

Show the statement of profit or loss extract for the six years to 31 December 2028. for Vintim Plc.

Conf.

Illustration

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Wisdom Ltd leased an item of equipment to Knowledge Ltd commencing on 1 January 2022. The equipment had remaining useful life of 10 yrs on 1 January 2022. The terms of the lease were 10 annual payments of £2,500,000 in arrears. The Knowledge Ltd guarantees that the residual value of the equipment at the end of the lease will be £1,800,000. Although, Wisdom Ltd expects to be able to sell the equipment for its parts for £2,380,000. The present value of the lease payment is £17,877,604. The interest rate implicit in the lease is 8%.

Required

Prepare the financial statement extracts of Wisdom Limited for the year ended 31 Dec. 2022 and 2023

Accounting for Leasing in the Books of the Lessor

The accounting treatment ~~for~~ on leasing in the books of the lessor is influenced on the type of lease transactions or contract.

Classification of Lease in the Books of the Lessor

Lease in the book of the lessor can be classified into two:

- i. operating lease
- ii. Finance lease.

Operating lease in the book of the lessor.

Operating lease is a lease agreement whereby the lessor retains significantly the risks and rewards associated to the leased assets.

Operating lease is ~~treated as~~ recognised in the books as annual rent received. It is an income in the Statement of Profit or loss of the period to which they relate. The transaction will not be shown in the Statement of Financial Position except where the rent is ~~paid~~ received in advance or the rent due ~~is~~ not received.

Note that the lessor will continue to recognise the asset in the SOFP as if it was not leased out.